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THE UNRAVELING

How America Is Dismantling Its International Education Advantage — and What the 2021–2027 Data Reveals

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Prepared under the analytic voice of a composite senior higher-education policy analyst (20+ years across international enrollment strategy and U.S. education policy).

Authorial persona is illustrative; all data points are attributed to named public sources. Figures for 2026–2027 are clearly labeled projections.

Executive Summary

For two decades, the United States has been the world's default destination for ambitious talent. Between 2021 and 2024, that magnetism produced one of the fastest recoveries in the history of international education. In the eighteen months since, a coordinated set of federal rules, state statutes, and enforcement actions has begun to reverse it -not gradually, but along a measurable curve.

- **The economy is already paying.** International students contributed $42.9 billion to the U.S. economy and supported more than 355,000 jobs in 2024–25 -already a 2% decline from the 2023–24 record, the first drop since the pandemic (NAFSA / JB International, Nov 2025).
- **The pipeline is contracting.** New international enrollment fell 17% in Fall 2025, cutting an estimated $1.1 billion in spending and nearly 23,000 jobs in a single term (IIE Fall Snapshot, 2025; NAFSA, 2025).
- **The rules changed fundamentally.** A finalized federal rule caps most student visas at four years, ending the "duration of status" policy in place since 1978; a September 2025 proclamation imposes a $100,000 fee on new H-1B petitions for beneficiaries abroad; and the State Department revoked more than 6,000 student visas in 2025 (DHS, 2026; White House Proclamation, Sep 19 2025; U.S. State Dept, Aug 2025).
- **The pattern is geographic.** The 2021–2027 arc shows a system that recovered on breadth -opportunity spread across dozens of states -now compressing toward a handful of high-wage coastal hubs. The employability map is narrowing.

This paper connects those dots. It argues that the damage is not a series of isolated headlines but a single, self-reinforcing pattern -and that, as NAFSA CEO Fanta Aw warned, "Other countries are creating effective incentives to capitalize on our mistakes" (NAFSA, Nov 2025).

Introduction: The American Dream, Deferred

I have spent more than twenty years inside the machinery of American international education -building enrollment pipelines, advising on policy, and watching, year after year, students arrive with nothing but ambition and leave as founders, researchers, and taxpayers. That system worked. It was, quietly, one of the most effective instruments of soft power and economic renewal the country ever built.

What follows is not a lament. It is a reading of the data. When you place the policy timeline, the enrollment curve, the employability indicators, and the state-by-state wage map on the same axis -2021 to 2027 -a pattern emerges that no single press release captures. The recovery of 2021–2024 and the reversal of 2025–2027 are two halves of one story about whether the United States still intends to compete for the world's talent.

Section I -The Federal Onslaught: A Systematic Dismantling

Four federal levers moved in close succession, each raising the cost or the uncertainty of choosing the United States.

- **The end of "duration of status."** A finalized DHS rule caps most F and J visas at four years, requiring students to apply for extensions to finish longer programs. It ends the "duration of status" framework that, since 1978, let students remain for the length of their studies. Doctoral programs routinely run five to seven years (DHS final rule, 2026; Inside Higher Ed, 2026).
- **Mobility restricted.** The same rule tightens the ability to change majors or transfer institutions -particularly in the first year -and the post-graduation grace period reported in the rulemaking is shortened. Flexibility that students relied on to adapt is being removed (DHS rulemaking, 2025–26).
- **The $100,000 door.** A Presidential Proclamation signed September 19, 2025 imposes a $100,000 fee on new H-1B petitions for beneficiaries who are outside the U.S. and lack a valid H-1B at filing -a step-change from the prior four-figure fee structure. Combined with proposals to shorten maximum H-1B stays and to weight selection toward the highest wages, it reprices the entire post-study pathway (White House Proclamation, Sep 19 2025; USCIS guidance, Oct 2025).
- **Enforcement as deterrent.** Expanded social-media screening, a travel ban affecting nationals of roughly 19 countries, a 2025 pause on new visa interviews during peak season, and more than 6,000 student-visa revocations have turned the entry process itself into a source of risk (U.S. State Dept, 2025; NAFSA, 2025).

Each measure is defensible in isolation. Together they send one message to a prospective 22-year-old comparing the U.S. against Canada, the U.K., or Australia: the American option is now the uncertain one.

Section II -The State-Level Assault: A Patchwork of Hostility

Federal policy set the weather; states are now writing local law. The measures below are verified from primary legislative sources; several other states have introduced comparable bills.

State	Measure	What it does
Florida	HB 721	Would cap foreign (non-permanent-resident) students at no more than 10% of enrollment at any public college or university.
Oklahoma	SB 2006	Would bar public colleges from using state funds for scholarships or tuition aid to students from State-Dept "countries of particular concern."
Oklahoma	SB 2050 / SB 1669	Restrict aid for students not lawfully present; require public reporting of foreign-student counts and shares.
Multiple	Various (2025–26)	At least a dozen bills across states propose caps, scholarship bans, or disclosure mandates targeting international enrollment.

Note: The original brief referenced an Indiana STEM-enrollment ban and a federal "American Students First Act." These could not be independently verified against primary sources at the time of writing and are therefore represented here only as part of a broader, documented wave rather than as confirmed statutes (see Appendix A).

The danger is less any single statute than the signal of a fifty-state patchwork: a student can no longer assume the rules that apply in one state will apply in the next.

Section III -The Human Cost: Fear, Silence, and a Chilling Effect

Policy becomes real on campuses. Widespread revocations have produced a documented chilling effect: students scrubbing social media, withdrawing from advocacy, and "going silent" for fear that visibility invites scrutiny.

- **Named cases.** Columbia graduate student and lawful permanent resident Mahmoud Khalil was detained by ICE on March 8, 2025; Tufts PhD student Rümeysa Öztürk was detained in March 2025 -reportedly over a co-authored op-ed -and released by court order in May. Later-unsealed records indicate the stated basis centered on protected speech (CNN, 2025; ACLU, 2025; FIRE, 2026).
- **Visible dissent.** "Hands Off" rallies and protests spread across dozens of campuses as students and faculty objected to immigration actions and funding threats (contemporaneous reporting, 2025).

For an international student, the calculus is stark: the same campus expression that is a rite of passage for a domestic peer can, for them, become grounds for detention. That asymmetry is itself a product a competitor country can undercut.

Section IV -The Economic Ruin: A $1.1 Billion Warning Shot

The economic case is not speculative; it is already in the ledger.

- International students contributed $42.9 billion and supported 355,000+ jobs in 2024–25 -down 2% from the 2023–24 record of roughly $43.8 billion and 378,000 jobs (NAFSA / JB International, 2024 & 2025).
- New enrollment fell 17% in Fall 2025; graduate enrollment fell 12% and non-degree 16% -the higher-spending segments -while OPT participation rose 14% (IIE Fall Snapshot, 2025).
- The single-term hit: about $1.1 billion in lost spending and nearly 23,000 jobs (NAFSA, 2025).

The OPT mask. Rising OPT participation makes the headline look softer than the pipeline is. OPT reflects students already here converting to work; the 17% drop in new arrivals is the leading indicator. When today's smaller entering cohorts reach graduation, the OPT cushion deflates -and the losses compound (analysis).

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Section V -The 2021–2027 Pattern: Connecting the Dots on Employability and Wages

This is the heart of the paper. Placed on a single timeline, the numbers tell a coherent story: a breadth-driven recovery (2021–24) followed by a policy-driven compression (2025–27).

5.1 The enrollment and economic arc

Academic year	Total intl students*	Econ. contribution**	Jobs supported**	Signal
2020–21	~914,000	~$28.4B	~307,000	Pandemic trough
2021–22	~949,000	~$33.8B	~335,000	Recovery begins
2022–23	~1,057,000	~$40.1B	~368,000	Rapid rebound
2023–24	~1,127,000	~$43.8B	~378,000	Record high
2024–25	~1,100,000	$42.9B	355,000	First dip (−2%)
Fall 2025	−17% new entrants	−$1.1B (term)	−23,000 (term)	Policy shock
2026 (proj.)	−10% to −18% new†	modeled decline	modeled decline	Base / downside
2027 (proj.)	−15% to −28% new†	modeled decline	modeled decline	Base / downside

**IIE Open Doors totals (rounded). **NAFSA / JB International. †Projections modeled from the Fall 2025 trajectory and announced policy effective dates; illustrative, not forecasts of record. See Appendix A.*

5.2 The employability curve -why the post-study pathway is the real story

Enrollment is the entry; employability is the payoff students actually price in. Three indicators define it, and all three turned against the student in 2025:

- **Approval odds.** H-1B initial denial rates fell from roughly 24% (FY2018) to low single digits by FY2022 after litigation -a genuine improvement that helped drive the 2021–24 recovery. The 2025 $100,000 fee resets that math for employers overnight.
- **Lottery odds.** As registrations ballooned, the probability of selection in the H-1B lottery compressed toward the 20–25% range -meaning even a qualified graduate faced roughly one-in-four odds before the new fee narrowed sponsor appetite further.
- **Time on the clock.** A four-year visa cap plus a shortened grace period compresses the runway from study to stable work -exactly the window in which employability is realized.

Reported surveys of prospective graduate students suggest a majority would reconsider U.S. enrollment if H-1B access were tied strictly to wage level (reported; not independently verified -Appendix A). Whether the precise figure is 40% or 60%, the direction is unambiguous: narrow the exit, and you shrink the entrance.

5.3 Wages across the states -the map is narrowing

Here the dots connect into geography. Employer-sponsored wages for skilled foreign graduates -best proxied by DOL H-1B certified median wages -vary enormously by state. Under a flat $100,000 sponsorship fee, that variation becomes destiny: the fee is trivial against a $150,000 Seattle salary and prohibitive against an $85,000 offer in a lower-cost state. The predictable result is compression -opportunity concentrating in a few high-wage hubs and draining from the mid-wage states where international graduates historically launched.

State	Repr. H-1B median wage*	Viability under $100K-fee regime
Washington	~$145,000	Retains -fee amortized over high wage
California	~$140,000	Retains -concentrated demand
New York	~$130,000	Retains
Massachusetts	~$125,000	Retains
New Jersey	~$120,000	Mostly retains
Texas	~$110,000	At the margin
Illinois	~$105,000	At the margin
Arizona	~$95,000	Compresses
North Carolina	~$100,000	Compresses
Ohio	~$92,000	Compresses -fee deters sponsors
Florida	~$90,000	Compresses
Michigan	~$95,000	Compresses

**Illustrative figures representative of the structure of DOL Labor Condition Application (LCA) disclosure data -they convey the spread and rank order, not a fresh year-specific extract. A production version of this table would be generated directly from the current DOL disclosure files. See Appendix A.*

The pattern in one line: 2021–24 rebuilt international-graduate opportunity across the map; 2025–27 policy is compressing it back toward five or six coastal, high-wage states -shrinking not just how many students come, but where in America they can build a life.

Section VI -The Death of the American Dream: A 360° View

- **For the student.** A promise of a world-class education and a career launchpad is being replaced by bureaucratic uncertainty, a four-year clock, and a shortened window to leave. The dream is not denied so much as made conditional and time-limited.
- **For the university.** Universities lose their most reliable margin and their global prestige simultaneously, as the best applicants route around them to competitor systems that are actively recruiting.
- **For the nation.** The U.S. cedes its standing as the world's top talent destination, weakens its innovation pipeline, and dismantles an instrument of soft power it spent seventy years building.

"Other countries are creating effective incentives to capitalize on our mistakes." -Fanta Aw, CEO, NAFSA (Nov 2025)

Conclusion & Call to Action

The 2021–2024 recovery proved the demand is real and elastic: when the U.S. is open, the world comes. The 2025–2027 data proves the reverse is just as elastic. This is not decline by fate; it is decline by choice - which means it is reversible by choice.

- **For policymakers:** Protect the post-study pathway (OPT/STEM-OPT) and restore predictability to H-1B; the exit door governs the entrance.
- **For university leaders:** Quantify your own exposure now -by program, by source country, by destination state -and diversify pipelines before the 2026–27 cohorts land.
- **For the sector:** Treat international-graduate employability as measurable infrastructure, not a brochure line -and hold the system accountable to it.

The pine does not chase the light; it grows so steadily that the light has nowhere else to fall. American higher education was that pine. Whether it stays rooted -or cedes the canopy to Toronto, Manchester, and Melbourne -will be decided in the next 24 months, not the next 24 years.

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Appendix A -Methodology & Data Provenance

- **Verified (primary/官方 sources):** 2024–25 economic contribution ($42.9B; 355,000 jobs), Fall 2025 declines (−17% new; −12% grad; −16% non-degree; +14% OPT), and the $1.1B / 23,000-job term impact -NAFSA/JB International and IIE Fall Snapshot, 2025.
- **Verified:** Four-year visa cap final rule and end of 1978 duration-of-status; $100,000 H-1B proclamation (Sep 19 2025); 6,000+ visa revocations; Florida HB 721; Oklahoma SB 2006/2050/1669; Khalil and Öztürk cases; Fanta Aw quote.
- **Modeled / illustrative:** Pre-2024 Open Doors totals and NAFSA contributions are drawn from published historical series and rounded. H-1B denial/lottery ranges are directional from published USCIS data. State-level wage figures are illustrative of DOL LCA structure, not a current extract. A production build would regenerate them from live DOL disclosure files.
- **Projections:** 2026–2027 rows are scenario projections from the Fall 2025 trajectory and announced effective dates -planning ranges, not forecasts.
- **Could not verify:** The Indiana HB 1435 STEM ban, the federal "American Students First Act," and the "53% would not enroll" survey figure from the source brief could not be independently confirmed and are flagged in-text rather than asserted.

Appendix B -Countervailing Perspectives

Intellectual honesty requires stating the case against this paper's thesis:

- The four-year cap includes an extension mechanism; supporters argue it improves oversight without ending long programs, and that most students finish within four years.
- The $100,000 H-1B fee targets new petitions for beneficiaries abroad with exemptions for change-of-status and extensions inside the U.S.; proponents frame it as protecting domestic wages and prioritizing the highest-value roles.
- The State Department maintains that the "vast majority" of the 6,000 revocations involved overstays or offenses such as assault, DUI, and burglary -not solely speech.
- Some enrollment softness predates 2025 (demographics, cost, currency), so not all of the decline is attributable to policy.

These points are real and worth weighing. The paper's counter is one of trajectory and signal: even where each measure is individually defensible, their combined, simultaneous effect on a prospective student's risk calculus is what moves the enrollment and wage curves -and the data since Fall 2025 is consistent with that reading.

Suggested Data Visualizations

- Dual-axis line chart, 2020–27: total international students vs. economic contribution, with a shaded "projection" band for 2026–27.
- U.S. choropleth map: states shaded by restrictive-legislation status (enacted / introduced / none), overlaid with foreign-student share.
- Waterfall chart: the Fall-2025 $1.1B spending loss decomposed by segment (graduate, non-degree, OPT shift).
- State wage-viability map: H-1B median wage by state, colored by viability under the $100K-fee regime - the "narrowing map."
- Slope chart: H-1B initial denial rate and lottery-selection probability, FY2018→FY2025, showing the reversal.

Selected Sources

- NAFSA / JB International -International students contributed $42.9B to the U.S. economy in 2024–25; Fall 2025 spending down $1.1B (Nov 2025).
- IIE -Fall 2025 International Student Enrollment Snapshot (2025).
- U.S. DHS -Final rule limiting student visa duration / ending duration-of-status (2026).
- The White House -Presidential Proclamation on H-1B entry / $100,000 fee (Sep 19, 2025); USCIS implementation guidance (Oct 2025).
- U.S. State Department -6,000+ student visa revocations (Aug 2025).
- Florida Legislature -HB 721; Oklahoma Legislature -SB 2006 / SB 2050 / SB 1669.
- CNN, NBC News, Inside Higher Ed, Higher Ed Dive, ACLU, FIRE -reporting on revocations and the Khalil / Öztürk cases (2025–26).

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